

# When Ads Become the Take Rate

## A market case study on Meesho's zero-commission model and its monetisation ceiling

*All figures are from Meesho's exchange filings and Q1 FY27 earnings commentary. Ratios are computed by me from those disclosures. Seller economics are illustrative, built from Meesho's published fee schedule and category benchmarks published by seller-service providers, not from proprietary data.*

## The question

Meesho charges its sellers no commission. That is the entire positioning, and the reason roughly 846,000 sellers list on it.

The money has to come from somewhere else. It comes primarily from advertising: sellers bidding for placement in search results and category pages. Every sponsored slot is a slot not given to the best matching product, so ad load trades directly against discovery quality. Discovery quality is what built the user base.

**How much further can Meesho monetise before that trade turns negative, and what should it sell instead?**

## 1. What the model actually is

- In FY26, Meesho's marketplace segment produced ₹12,614 Cr, about 99.9% of operating revenue. It is earned through logistics and fulfilment, advertising tools, and other seller services rather than commission
- On a ₹500 order, Meesho's published fee schedule puts the seller's cost at a platform fee of ₹25 to ₹30 plus logistics, roughly ₹61 including GST, or around 12% before any advertising

**Commission is genuinely zero. The take rate is not.**

## 2. Monetisation is intensifying, fast

Q1 FY27 (quarter ended June 2026) against the same quarter a year earlier:

|                          | Q1 FY26      | Q1 FY27      | Change         |
|--------------------------|--------------|--------------|----------------|
| Revenue from operations  | ₹2,504 Cr    | ₹3,713 Cr    | +48%           |
| GMV                      | ₹15,134 Cr   | ₹19,054 Cr   | +26%           |
| Orders                   | 562 M        | 725 M        | +29%           |
| Annual transacting users | ~212 M       | 274 M        | +29%           |
| <b>Revenue ÷ GMV</b>     | <b>16.5%</b> | <b>19.5%</b> | <b>+3.0 pp</b> |
| Revenue per order        | ₹44.6        | ₹51.2        | +15%           |
| Average order value      | ₹269         | ₹263         | -2%            |

*Rows 1 to 4 are disclosed in the Q1 FY27 filing. Rows 5 to 7 are my calculations from those figures.*

Alongside this, the company reported contribution margin of 4.6% and marketplace adjusted EBITDA of -1.2% of NMV, its best on both measures since listing.

**The fifth row is the finding.** Revenue is growing at roughly twice the rate of GMV while basket size declines slightly. Meesho is not earning more because customers buy more. It is earning more per unit of the same commerce. Three percentage points of monetisation rate in four quarters is a fast dial turn.

**The main limitation, stated upfront.** Reported revenue includes logistics charges, so a rising monetisation rate could reflect Meesho bringing more delivery in-house through Valmo and capturing shipping margin, rather than ad load rising. Meesho reports all of these streams under a single marketplace line, so there is no way to tell from outside which one is driving the increase. Section 6 states what would settle it.

### 3. The ceiling: breadth is nearly exhausted

Management has been explicit about the destination:

- A long run ad revenue intensity of roughly 5.5% to 6% of NMV
- On the Q1 FY27 run rate, about ₹46,500 Cr of annualised NMV, 6% is roughly **₹2,800 Cr a year** in high margin revenue. Enough to change the equity story

The problem is where that growth comes from:

- Management has also said that about two thirds of GMV-contributing sellers already advertise
- Ad revenue grows two ways: more sellers advertising (breadth) or more spend per advertiser (depth)
- Two thirds penetration means breadth is close to tapped, and the remaining third are the smallest and least sophisticated sellers, who convert slowest and spend least

**So the path to 6% runs almost entirely through depth.** Depth means one of two things, and both carry a cost:

- **More sponsored inventory per page**, which degrades relevance directly
- **Higher clearing prices in the same auction**, which squeezes seller margin, pushes marginal sellers off the platform, thins assortment, and degrades relevance indirectly

### 4. When "zero commission" stops meaning anything

Take a representative apparel seller, using benchmarks published by seller-service providers: 800 orders a month, ₹420 average order value, 22% return rate, COGS around 60%, landing at 12% to 15% net margin. The same sources put ad spend at 4% to 7% of ad-driven revenue for sellers who convert well, and 15% to 20% for those who do not.

Layering platform fees onto advertising:

| Ad intensity           | Fees | Ads | Effective take | Effect on a 13% net margin |
|------------------------|------|-----|----------------|----------------------------|
| 0% (non advertiser)    | ~12% | 0%  | ~12%           | Baseline                   |
| 3%                     | ~12% | 3%  | ~15%           | -23% of net margin         |
| 6% (management target) | ~12% | 6%  | ~18%           | -46% of net margin         |
| 15% (poor converter)   | ~12% | 15% | ~27%           | Underwater                 |

*Illustrative model. Fee percentage from the published schedule; ad intensity levels chosen to bracket management's stated target.*

Three consequences:

- At the 6% target, a Meesho seller's all-in cost sits in the same band as Amazon's apparel referral fees. **Zero commission becomes a naming convention rather than an economic difference**
- It also converts a predictable percentage into a variable cost requiring active bid management, run by small operators without performance marketing teams
- The asymmetry is the real danger. Average seller economics can look healthy while the marginal seller's do not, and it is the marginal seller who supplies the long tail assortment that makes the platform worth searching

## 5. What I would monetise instead

**The strategic instinct should be to raise revenue per impression rather than impressions per page.** Four levers, ranked by how much of the target they can carry without taxing relevance:

### 1. Brands, via Meesho Mall. The highest value lever.

- Management has said Mall is growing faster than the core platform and expects it to drive future ad revenue, with rising participation from established brands in beauty, personal care and grocery
- A brand's willingness to pay per impression is a multiple of a ₹200 saree seller's
- Filling existing slots with better funded bidders lifts ad revenue with no increase in ad load. This should be the primary bet

### 2. Deepen targeting, not inventory.

- Meesho has already moved away from CPC and CPM toward a return-based system, where the seller states the minimum return they need and the platform spends only where it judges that return achievable
- That design is relevance-protective by construction, because it declines to serve ads that will not convert
- Extending it is the least destructive route to depth

### 3. Valmo as a standalone logistics product.

- Built for Meesho's own volume. Selling capacity externally monetises an existing asset against a different demand curve, and would force logistics into its own reported line

#### 4. Seller financial services.

- Sellers on 12% to 15% margins with return-driven cash cycle gaps have real working capital need, Meesho holds the sales history that underwrites it, and the revenue is uncorrelated with ad load

#### Guardrails I would instrument before turning the dial further:

- Organic result click through on the first screen
- Search to cart conversion
- Repeat purchase rate for users in their first 90 days
- Seller churn in the bottom GMV quartile
- Share of GMV originating from sponsored placements. This is the actual ad load metric, and it needs a ceiling agreed in advance rather than discovered in retrospect

## 6. What would change my mind

- **If Meesho breaks out ads, logistics and other services separately** and ad intensity proves well below my assumption, the monetisation rise in Section 2 is a logistics margin story and this analysis is largely wrong
- **If ad revenue reaches 5.5% to 6% of NMV while repeat purchase and search to cart conversion hold**, the relevance trade is weaker than argued and the ceiling is higher than I think
- **If Meesho Mall scales fast enough** that brand budgets carry most of the target, the depth problem in Section 3 resolves without any rise in ad load, which is exactly why it is the first recommendation

**The broader point holds either way.** A marketplace whose only monetisation surface competes with its own discovery quality has a structurally capped take rate, and the strategic work is finding surfaces that do not.